

NOVA CONGLOMERATE | BOARD STRATEGIC BRIEF

Q2 Performance Review & Operational Growth Roadmap

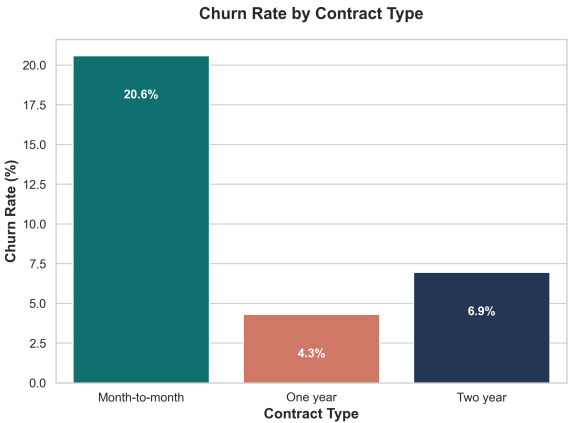
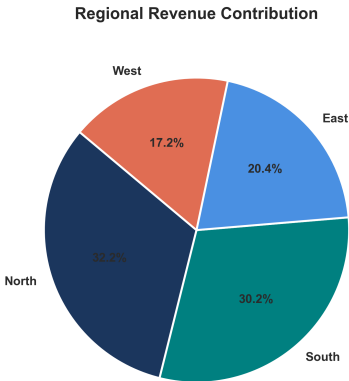
EXECUTIVE BRIEF HIGHLIGHTS:

- **Retail Optimization:** Pareto analysis validates that three product lines (Laptops, Tablets, Phones) generate **77.9%** of total division revenue (\$9.6M). Demand is highly price inelastic ($\epsilon_p=0.937$), opening margins for targeted price increases.
- **Telecom Retention:** Customer churn is heavily driven by Month-to-month contracts (**20.59%** churn vs. 4.30% for 1-year) and higher monthly pricing (\$129.77 mean churn charges vs. \$111.72 active). New, high-paying subscribers (K-Means Cluster 1) represent a high churn risk profile (**28.65%** churn rate).
- **Property Valuation:** An OLS model explains **95.4%** of pricing variance, identifying a \$1.67M premium per bedroom and an annual age depreciation rate of \$83.8K.

Division Analysis & Key Action Items

Division / KPI	Analytical Discovery	Immediate Strategic Action
Nova Retail Total Rev: \$12.37M Avg Price: \$25.8K	Laptops & Tablets dominate volume. Sales volume is price insensitive ($\epsilon_p=0.937$), opening margins for targeted price increases.	Implement selective 3% price increases on high-margin products.
Nova Telecom Churn Rate: 10.60% Monthly Churn Avg: \$129.77	New subscribers with high fees (Cluster 1) churn at Target Churn: 28.65% rate. Month-to-month contracts represent 20.59% of total subscribers.	Target Cluster 1 subscribers with retention incentives to reduce churn.
Nova Property R-squared: 95.4% Bedrooms Coef: \$1.67M	Valuations are driven by Area, Bedroom/Bathroom Count, and lot location. Age Dep Coef: -\$83.8K/year.	Focus portfolio growth on high-appeal areas with low depreciation rates.

Data Visualizations & Execution Roadmap



BOARD IMPLEMENTATION ROADMAP:

- 1. **Short-Term (0-3 Months):** launch loyalty campaigns targeting new, high-value Telecom subscribers in Cluster 1 to lock them into contract terms; reallocate high-margin retail inventory (Laptops/Tablets) to the North and South regions.
- 2. **Medium-Term (3-6 Months):** Increase retail pricing by 3-5% on inelastic products; execute structural renovations on suburb properties by adding bedrooms/bathrooms to capitalize on property premiums.
- 3. **Long-Term (6+ Months):** Transition billing terms away from month-to-month contracts to 12-month minimum contracts; scale city center luxury real estate development.